COURSE

# Pearson BTEC Level 1/Level 2 Tech Award in Enterprise (603/7063/4)

# Promotion

**Component 3: Marketing and Finance for Enterprise · A2 4Ps of the marketing mix: promotion**

Revision for Component 3: Marketing and Finance for Enterprise: each firm works it out on its own deals.

Class **Pearson BTEC Level 1/2: Tech Award in Enterprise, First in Business**

Topic **Promotion**

## THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

An advert for these cars.

**Profit from the advert? Minus allowed.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| The advert costs | **£1,500** |
| Extra sales from it | **5 cars** |
| Margin per car | **£1,400** |

METHOD

**Profit = extra sales × margin per car − advert cost**

5 × £1,400 − £1,500 = £5,500

**Why:** 5 extra cars bring £7,000 for a £1,500 advert.

## Task 2

ROUND 1

You ran a local radio advert last month.

**Which two show it was worth the cost?**

PICK TWO

- ✔ **Extra profit above its cost**
- ○ It cost less than last year's
- ○ More people heard it
- ✔ **Sales it brought from new buyers**
- ○ The advert won an award

**Why:** An advert pays when its extra sales earn more than it cost.

## Task 3

ROUND 2

Three adverts: what each cost, and the sales it brought.

**Order by cost per sale, cheapest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Social: £800, 8 sales**
2. **Paper: £600, 4 sales**
3. **Radio: £1,500, 6 sales**

**Why:** Cost ÷ sales: £100, £150, £250. The cheapest advert is not the best value.

## Task 4

ROUND 2

Pick one of two adverts.

**Profit from the more profitable advert?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Radio advert, 4 extra cars | **£3,000** |
| Social advert, 5 extra cars | **£1,500** |
| Margin per car | **£1,900** |

METHOD

**Each advert: extra cars × margin – its cost; take the higher**

Radio £4,600, social £8,000: £8,000

**Why:** The cheaper advert is not always the better one.

## Task 5

ROUND 3

A TV advert reaches 50,000 people for £2,000. A trade paper reaches 5,000 local car buyers for £800.

**Which advert should you pick, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **The trade paper**
- ○ The TV advert

**Why:** The paper reaches the people who buy from you, at less cost.

## Task 6

ROUND 3

Pick one of two adverts.

**Profit from the more profitable advert?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Radio advert, 24 enquiries | **£1,250** |
| Social advert, 20 enquiries | **£2,250** |
| Enquiries that buy | **NaN el** |
| Margin per car | **£1,800** |

METHOD

**Each advert: enquiries that buy × margin − its cost; take the higher**

Radio 6 × £1,800 − £1,250 = £9,550; social £6,750

**Why:** Enquiries are not sales: count the cars that sell.

# Final questions

**6**
questions for each pupil

**136**
Level 2 Business questions

**5**
of them on promotion

**The game draws 6 of the 136 Level 2 questions; these 5 are about promotion.**

1 A small dealer wants to reach nearby customers who are actively searching online for a used car. Which promotional choice is most precisely targeted?
**A local search advert linked to live vehicle stock.**

2 Which is a sales promotion rather than long-term advertising?
**A two-week free MOT offer.**

3 The Sales lead organises a road-safety event that earns unpaid local-news coverage. Which promotional method is this?
**Public relations (PR).**

4 The Sales lead promotes a specialist wheelchair-accessible vehicle to a narrow professional and user audience. Which channel is most suitable?
**Targeted mobility trade and community channels used by that audience.**

5 Promotion tells customers what a business sells and persuades them to buy. A dealer wants local trades who do not know it to learn it services vans. Which suits best?
**An advert in a local trade magazine van operators read.**